the business elsewhere. The family firm worked on the basis of trust, reputation and reciprocity. Those who would cheat or steal were punished by the community, and this threat alone was strong enough to persuade people to fall in line. More crucially, capital stayed within the family and the community, allowing both to accumulate substantial wealth over time through migration and the discovery of new business opportunities.

Not everyone in the family migrated, as daughters and wives generally stayed at home. Merchant migrations before the 20th century were male-dominated, semi-permanent and remittance-based, much like the nature of circular migration observed in the Great Indian Migration Wave. These migrations, however, occurred from different regions, such as the north-western areas of the Indian subcontinent and a few coastal tracts. Claude Markovits, a historian of Indian business, provides one possible explanation for the exceptional selectivity of merchant migrations from the region comprising Punjab, Rajasthan, Gujarat and Sindh.[87] His ecological argument credits the ‘dry zone’ for honing skills in risk management, which provide a comparative advantage in trade and finance, over regions with more reliable access to water. However, much of central India is also semi-arid and dry in nature and did not witness major mercantile migrations whereas the coastal tracts well-endowed with water did witness mercantile migrations.

A more complete explanation would include factors that shaped attitudes towards trade and spatial mobility. The *Arthashastra*, India’s most famous treatise on statecraft compiled over 1800 years ago, mistrusted traders arguing that that they were ‘all thieves, in effect, if not in name’ and that ‘they shall be prevented from oppressing the people’.[88] The caste system itself accorded the trading caste the third position, ritually lower than the priests and the warriors. Further, taboos on overseas travel were pervasive. In such a milieu, the trading castes were not likely to be in a position to expand their network or gain acceptance among other castes.

The north-western regions of the Indian subcontinent, however, differed substantially from other parts of India in having four major religious and philosophical traditions, outside orthodox Hinduism and Islam, already